

HOW TO SELECT?

1) SELECT THE FUND CATEGORY

2) SELECTING THE FUND WITHIN THE CATEGORY

As discussed earlier, mutual funds are divided into multiple categories. These categories are determined based on the underlying asset classes they invest in. Each category has different risk-reward behavior. A suitable category has to be selected based on the return objectives. For instance, equity mutual funds are suitable for long term goals and debt-related mutual funds for relatively short term goals.

CATEGORIES OF MUTUAL FUND UNDER EQUITY BASED ON

SIZE OF THE CO.	PURPOSE	SECTOR	THEME
• Small-cap • Mid-cap • Large-cap	• Retirement • Savings • Tax-savings	• Energy • Consumer • BFSI	• Rural Development • Consumption • ESG

CATEGORIES OF MUTUAL FUND UNDER DEBT BASED ON

ISSUER	DURATION	CREDIT QUALITY	
• Government Bonds • Corporate Bonds	• Low Duration • High Duration	• Safest • Safe	• Risky • Junk

Then there are hybrid mutual funds as well. Thus, as a result, mutual funds are very diverse and have many categories. We follow categories by Morningstar. In the next few pages we have listed down the different categories by Morningstar and what do they mean and where are they suitable